



Weekly Insights | Feb 12, 2026

Item	Page
Stories of the Week	1
Corn	30
Wheat	32
Soybeans	34
Soybean Meal	36
Soybean Oil	38
Weekly Prices	40

Executive Summary

Corn – WASDE Tightens Marginally as Exports Keep the Front End Supported

Corn drifted modestly lower through the week, with March futures settling at \$4.28, down roughly five cents week over week and briefly testing the \$4.30 area midweek. Despite the softer flat price, spreads continued to reflect a market anchored more by execution than by storage economics. The March–May spread held near an eight-cent carry, still short of full carry and consistent with limited commercial incentive to widen structure aggressively.

February WASDE delivered a targeted but constructive demand-side adjustment, raising exports and trimming ending stocks in recognition of a shipment pace that remains well ahead of last year. For the week ending February 6, export inspections totaled approximately 1.308 million metric tons, lifting cumulative shipments to near 34 million metric tons and reinforcing a supportive export trajectory. Cash markets remained firm across key corridors, with Gulf values steady and interior bids showing only marginal softness despite incremental improvements in winter logistics. Managed money remains net short, but the position has continued to unwind, suggesting reduced conviction to press the downside absent deterioration in physical flow. Flat price remains rangebound, yet the combination of incremental balance-sheet tightening, strong shipment execution, and stable front-end structure continues to limit downside risk.

Wheat – Inspections Improve, but WASDE Keeps the Broader Tone Supply-Heavy

Wheat futures were steady to slightly weaker, with March Chicago SRW settling near \$5.33, essentially unchanged on the week. The February WASDE delivered only modest adjustments, leaving the global balance sheet broadly intact and reinforcing a market that remains structurally well supplied. Export inspections improved to approximately 0.58 million metric tons, pushing cumulative shipments near 17.3 million metric tons and keeping wheat shipments modestly ahead of last year's pace. However, the improvement remains insufficient to materially shift sentiment within an otherwise heavy supply framework. Cash markets showed little movement, with Gulf values broadly steady and interior bids reflecting comfortable coverage. Managed money continues to hold a sizable net short, and with Black Sea supply still defining the global benchmark, rallies remain vulnerable without a clearer catalyst tied to weather, logistics, or policy disruption.

Soybeans – WASDE Adds South American Weight as Domestic Demand Remains the Anchor

Soybeans consolidated following last week's rally, with March futures settling at \$11.20, down roughly ten

This material is produced by Higby Barrett LLC Copyright © 2026. All rights reserved. The views expressed and information contained in this publication is believed to be accurate but is not guaranteed by Higby Barrett LLC or the Client. Higby Barrett assume no responsibility or liability for any action taken because of any information or advice contained in this document, and any action taken is solely at the liability of and responsibility of the user.

info@HigbyBarrett.com

cents on the week as the market absorbed *WASDE* revisions and accelerating South American harvest signals. February *WASDE* increased world soybean ending stocks, driven primarily by a higher Brazil production estimate, reinforcing the weight of South American supply as export flow accelerates. For the week ending February 6, US export inspections came in near 1.14 million metric tons. However, cumulative shipments remain well below last year, keeping exports the weakest component of the demand profile. Brazil's export program remains seasonally competitive, with January shipments near 3.23 million metric tons and February volumes expected to expand sharply, maintaining competitive pressure on US origin.

Cash markets, however, remain firm, supported by strong processor bids and sustained crush pull. Managed money expanded net length to roughly 28,800 contracts, increasing downside sensitivity should export execution fail to improve. Weather remains the primary sensitivity, but absent a measurable shift in export flow or a supply disruption, *WASDE* revisions and Brazil's expanding availability continue to cap sustained upside.

(Carry percent calculated assuming 7 percent annual interest and \\$.05/bu per month storage/insurance cost over the spread interval.)

Macro / Policy – *WASDE* Week Dominates as Biofuels and Trade Headlines Stay in the Mix

Macro drivers remained secondary to *WASDE* positioning this week, though biofuel and trade narratives influenced sentiment at the margin. Ethanol fundamentals softened in the latest weekly print, with production declining to 0.956 million barrels per day and stocks at 25.136 million barrels for the week ending January 30. The decline appears weather-driven rather than indicative of structural demand erosion, interrupting but not reversing the broader stabilization trend. Within the soy complex, renewable diesel policy continues to shape the tone of the market more than daily export flow, with attention centered on how federal credit structures translate into tangible margin support for soybean oil demand. Trade headlines circulated but lacked confirmation, and the market remains reluctant to price in policy-driven demand until transactions appear in the export data. With spreads and basis continuing to provide clearer real-time signals across grains, macro remains a backdrop rather than a driver, even as participants monitor policy follow-through following *WASDE* adjustments.

Weather – US Logistics Improve; Argentina Remains the Volatility Point

In the United States, near-term weather remains operationally supportive. Warmer temperatures have improved winter logistics and reduced freeze-related constraints, while wheat dormancy conditions remain stable with adequate snow cover across portions of the Plains and no meaningful winterkill headlines emerging.

In South America, Brazil continues to experience broadly supportive conditions, with harvest accelerating in Mato Grosso and safrinha planting advancing under generally favorable moisture profiles. Localized excess rainfall in southern states has slowed fieldwork intermittently but has not introduced systemic risk. Argentina remains the focal point for volatility, with moisture deficits persisting across portions of Buenos Aires, La Pampa, and Córdoba as corn enters pollination and soybeans move through pod-setting. Forecast models indicate scattered 10–20 mm rainfall over the next 7–10 days, offering partial relief but not a full recharge of soil moisture. No confirmed large-scale yield losses have been embedded into official estimates, yet the coming two weeks remain critical in determining whether stress translates into measurable production impact. Weather therefore represents a modest and conditional upside risk layered on top of an otherwise supply-heavy baseline.

What's Next (Feb 11 – Feb 18):

Export inspections: confirm corn shipment strength

Export sales: post-WASDE follow-through and any daily flashes

Argentina: rainfall coverage and crop stress signal

Brazil: harvest pace and safrinha planting progress

EIA ethanol: production and stocks after the weather dip

Positioning: fund short covering vs renewed selling

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	02/04/2026 Close	02/11/2026 Close	Change (Δ)	Δ percent	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (Mar '26)	\$4.33	\$4.28	-\$0.05	-1.15 percent	15 percent (ann.)	-8k (est.)
Soybeans (Mar '26)	\$11.30	\$11.20	-\$0.10	-0.89 percent	14 percent (ann.)	-7k (est.)
Wheat (Mar '26)	\$5.33	\$5.33	\$0.00	0.00 percent	18 percent (ann.)	-3k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated.

Table B – Key Calendar Spreads & percent of Full Carry

Spread (Crop '25→'26)	02/04/2026 Quote	02/11/2026 Quote	Δ (carry)	percent Full Carry*	Market Implication
Corn Mar–May	+0.08\$	+0.08\$	+0.00	53 percent	Stable; below full carry, supporting front end
Soy Mar–May	+0.12\$	+0.12\$	+0.00	52 percent	Steady; processor demand stabilizes nearby
Wheat Mar–May	+0.09\$	+0.09\$	+0.00	56 percent	Storage-led; no major shifts

Assumes 7 percent annual interest and \$0.05/bu per month storage/insurance. Estimated full carry over Mar–May (2 months): corn ≈ \$0.15, SRW wheat ≈ \$0.16, soybeans ≈ \$0.22. Percent of full carry = (calendar spread ÷ estimated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	02/04/2026 USD Price	02/11/2026 USD Price	Δ percent	Notes
Dalian Corn (Mar)	¥2,262(\$8.28/bu)	¥2,274 (\$8.36/bu)	+0.53 percent	Steady amid ample supply; limited upside from feed demand pressures
Dalian Soymeal (Mar)	¥2,745(\$395.64/mt)	¥2,733 (\$395.33/mt)	-0.44 percent	Weaker feed demand; margins pressured but stable

B3 (São Paulo) Corn (Mar)	R\$70.15 (\$13.39)	R\$68.45 (\$13.16)	-2.42 percent	Softer; Brazil weather premium offset by export flow and currency
Euronext Wheat (Mar)	€193.75 (\$228.68/mt)	€190.75 (\$226.44/mt)	-1.55 percent	Softer weekly; EU remains price-taker vs Black Sea.

Corn Market Deep Dive

Post-WASDE Balance Sheet: February *WASDE* introduced a targeted demand-side adjustment to the US corn balance sheet while leaving production unchanged at a record 17.021 bbu on 186.5 bpa across 91.3 million harvested acres. The meaningful revision came on exports, which USDA raised 100 mbu to 3.300 bbu in response to sustained shipment strength through the first half of the marketing year. Feed and residual use remained at 6.200 bbu, and the export increase reduced ending stocks to 2.127 bbu from 2.227 bbu in January, trimming stocks-to-use to roughly 14 percent while keeping the balance sheet firmly in surplus territory.

February did not reverse January's supply reset. It acknowledged that demand, particularly for export execution, has been stronger than initially assumed. The balance sheet remains loose by historical standards, but the adjustment shifts the focus squarely toward whether shipment pace can remain strong enough to prevent renewed stock accumulation into the back half of the year.

Futures & Spreads: March corn settled at \$4.28/bu, down roughly five cents on the week following the *WASDE* release and briefly testing the \$4.30 area midweek. Despite softer flat price, structure remained composed. The March–May spread held near an eight-cent carry, roughly half of full commercial carry under standard cost assumptions, signaling recognition of surplus without forcing a full storage incentive. The curve is paying carry, but it is not being forced wider. That stability suggests commercials remain comfortable owning nearby coverage at current replacement values. The market is acknowledging surplus, but it is not pricing distress.

Funds & Positioning: According to the latest CFTC Commitments of Traders report (week ending February 3), managed money holds a net short of 68,786 contracts in corn futures, marking a meaningful reduction from prior extremes and reinforcing the ongoing short-covering dynamic rather than renewed bearish expansion. Gross short exposure remains elevated relative to gross longs, yet February *WASDE* did not trigger renewed bearish expansion. Positioning now reflects reduced downside conviction rather than active bullish reallocation, leaving corn less vulnerable to disorderly fund-driven pressure than during January's supply repricing phase.

Cash & Basis: Cash markets continue to reinforce front-end stability. CIF Gulf corn barges were bid in the 109–117¢ over March range, broadly steady versus prior prints and consistent with stable exporter coverage. FOB Gulf export values remained near the low-\$220s per metric ton equivalent, preserving competitive positioning into key destinations. Interior river bids softened only marginally despite improved winter logistics and more fluid movement. Freight conditions have stabilized, although residual low-water constraints continue to limit full normalization in barge economics. Basis behavior suggests supply is available but not burdensome, with cash absorbing futures weakness rather than amplifying it.

Export Sales & Inspections: Weekly export inspections totaled approximately 1.308 mmt for the week ending February 5, lifting cumulative shipments to near 34 mmt and keeping pace materially ahead of last year. Execution remains the most constructive component of the balance sheet and directly supported USDA's February export increase to 3.300 bbu.

For the week ending January 29, weekly export sales exceeded 1.0 mmt, with cumulative commitments near 58.7 mmt, roughly 72 percent of USDA's full-year forecast. That level aligns with seasonal norms but remains supportive given the earlier shipment strength. Demand continues to surface on price breaks rather than retreat from them, reinforcing execution as the market's primary stabilizer.

Global Context: Globally, February *WASDE* left the corn balance sheet broadly comfortable, with world ending stocks near 289 mmt. Large crops in the United States and China continue to anchor supply, and no material downward revisions were introduced among major exporters. Brazil's second-crop planting remains on pace following early soybean harvest, and Argentine production expectations are materially improved relative to last year despite localized dryness. In the absence of supply deterioration abroad, global stocks continue to function as a ceiling on balance-sheet-driven rallies. Corn remains a market trading execution rather than scarcity.

So What? February refined the corn narrative without altering its foundation. Supply is known, stocks remain elevated, and surplus conditions persist. However, export strength, firm Gulf basis, and gradual short covering continue to define the lower boundary of price discovery. Corn is no longer pricing tightening risk, but neither is it trading as distressed surplus. With January's supply reset largely absorbed, the next directional move depends on whether shipment pace and ethanol grind sustain enough momentum to prevent renewed stock rebuilding later in the marketing year.

Soybean Market Deep Dive

Post-WASDE Balance Sheet: February *WASDE* left the US soybean balance sheet largely unchanged while lifting global supply expectations. US production was maintained at 4.262 bbu on 53.0 bpa across 80.4 million harvested acres, confirming that domestic supply assumptions are settled. Exports were left at 1.575 bbu despite continued lagging shipment pace, while crush was maintained at 2.570 bbu, underscoring USDA's confidence in domestic processing demand. Ending stocks held at 350 mbu, keeping stocks-to-use near 8 percent and confirming that January's loosening remains intact.

The more meaningful adjustment occurred globally. USDA raised Brazilian production again, lifting world ending stocks to roughly 125 mmt and reinforcing expanding South American availability entering peak export season. February did not tighten the balance sheet. It reinforced that domestic crush must continue to offset export underperformance.

Futures & Spreads: March soybeans settled at \$11.20/bu, down roughly ten cents on the week as global supply revisions limited follow-through buying after January's weather-driven rally. The March–May spread held in carry near 12–13 cents, a little over half of full commercial carry under standard cost assumptions. The forward curve remains composed. Carry persists, but the market has not moved toward a full storage incentive. With Brazil's export program ramping into Q1, coverage looks adequate and the market is not being pulled into inverse.

Products & Crush: NOPA January crush, released February 3, totaled approximately 225 million bushels, one of the strongest January volumes on record and consistent with near-capacity processing rates. Soybean oil stocks remain relatively tight relative to crush volume, reinforcing renewable diesel demand as a durable absorber of incremental supply. USDA's decision to maintain crush at 2.570 bbu in February underscores domestic processing as the most stable demand component within the balance sheet. Despite softer export performance, positive crush margins continue to support interior processor bids and provide structural stability to flat price behavior.

Cash & Basis: CIF NOLA soybean barges were bid around 95–97¢ over March, softening through the

week as Brazilian shipments expanded and exporter urgency diminished. FOB Gulf soybean offers remained pressured relative to South American origin, reflecting competitive Brazilian FOB values and narrowing arbitrage windows. In contrast, interior processor bids remained firm, supported by sustained crush margins and consistent plant demand. The widening divergence between export basis and processor basis reinforces that US soybeans are currently valued more through domestic consumption channels than export replacement demand during Brazil's dominant shipment window.

Funds & Positioning: According to the latest CFTC Commitments of Traders report (week ending February 3), managed money holds a net long of approximately +28,832 contracts in soybean futures. Gross length expanded following the late-January rally, while short positions were trimmed modestly. Positioning is not extreme by historical standards, but the expansion in net length increases downside sensitivity. Should Argentine rainfall improve or export data fail to accelerate, the market becomes more vulnerable to long liquidation rather than fresh buying.

Export Sales & Inspections: Weekly export inspections totaled approximately 1.14 mmt for the week ending February 5, keeping cumulative shipments sharply below last year's pace at this stage of the marketing year. Weekly export sales slowed meaningfully, and cumulative commitments stand near 34.3 mmt, roughly 80 percent of USDA's full-year forecast and slightly below the historical seasonal pace. Intermittent daily flash sales have surfaced, but they have not translated into sustained shipment acceleration. USDA's decision to leave exports unchanged in February reflects caution rather than validation. Any future upward revision depends on measurable improvement in execution later in the marketing year.

Global Context: February *WASDE* raised world soybean ending stocks to approximately 125 mmt, driven primarily by a higher Brazilian production estimate near 176 mmt. Argentina's crop outlook remains weather-sensitive but materially improved relative to last year's drought-reduced baseline. As Brazilian harvest advances and export capacity ramps up, global availability expands into Q1 and maintains competitive pressure on US export channels. Without disruption in South America, global supply functions as a structural cap on sustained rallies.

So What? February confirmed that soybeans remain internally supported by crush but externally constrained by global supply expansion. The US balance sheet is stable but not tightening, export flow remains under pressure, and structure reflects adequate coverage rather than scarcity. Soybeans are not pricing shortage. They are balancing resilient domestic processing against expanding South American availability. Absent a material shift in export execution or a weather-driven supply disruption, price discovery is likely to remain rangebound and increasingly sensitive to positioning rather than balance-sheet tightening.

Wheat Market Deep Dive

Post-WASDE Balance Sheet: February *WASDE* delivered only marginal adjustments to the US wheat balance sheet, reinforcing an already heavy supply structure. US production was left unchanged at 1.985 bbu on 53.3 bpa across 37.2 million harvested acres, confirming that supply assumptions remain settled. Demand-side changes were minimal. Exports were maintained at 900 mbu and food use held steady, leaving US ending stocks at 931 mbu, up slightly from January and keeping stocks-to-use near 45 percent. February did not introduce tightening. It reaffirmed that domestic supply continues to exceed demand requirements comfortably.

Futures & Spreads: March Chicago SRW wheat settled at \$5.33/bu, finishing essentially unchanged on

the week and being held within established trading ranges. Structure remained firmly in carry, with the March–May spread near a 9¢ carry, roughly mid-50 percent of full commercial carry under standard assumptions, reflecting ample supply but not a curve fully incentivizing storage. The market looks balanced rather than distressed, but it is still pricing storage economics, not scarcity.

Cash & Basis: FOB Gulf SRW values hovered near \$235/mt, while FOB Black Sea offers near \$228–230/mt continued to cap US competitiveness. Interior basis across SRW and HRW regions remained soft, generally 50–60¢ under March futures, with mills well covered and showing little urgency to extend bids. Basis continues to respond more to global competition than to domestic availability. Physical markets remain adequately supplied, with no evidence of emerging tightness.

Export Sales & Inspections: Weekly export inspections totaled approximately 0.58 mmt for the week ending February 5, lifting cumulative shipments to near 17.3 mmt. Shipments are modestly ahead of last year's pace but not at a rate sufficient to materially alter balance-sheet tone. Weekly export sales were seasonally constructive but unexceptional, consistent with maintaining USDA's current export forecast rather than signaling acceleration. Flow remains steady into traditional destinations, yet volumes are insufficient to challenge the broader supply-heavy narrative.

Global Context: February *WASDE* left the global wheat balance sheet broadly unchanged, with world ending stocks near 278 mmt, elevated relative to historical norms. Russian exportable supply remains ample, and Black Sea FOB values continue to anchor global pricing and define the marginal export benchmark. Argentina's production recovery adds incremental exportable volume, while EU supplies remain adequate. With no meaningful reductions to global output or inventories, international supply continues to act as a ceiling on sustained rallies, positioning US wheat firmly as a price-taker in global trade rather than a price-setter.

Funds & Positioning: According to the latest CFTC report (week ending February 3), managed money holds a net short of approximately –81,755 contracts in CBOT SRW wheat. The heavy short leaves the market vulnerable to episodic short-covering rallies on weather or geopolitical headlines. However, positioning alone has not altered the prevailing trend. Absent fundamental tightening, rallies driven by fund covering have remained corrective rather than structural.

So What? February reaffirmed wheat as the loosest balance sheet within the grain complex. Domestic stocks remain elevated, global inventories are comfortable, and structure continues to reward storage over urgency. Export demand is steady but insufficient to tighten conditions, and cash markets show little stress. Without disruption in a major exporting region or a material shift in global demand, wheat is likely to remain rangebound, driven more by positioning and spread behavior than by fundamental tightening.

US Cash Market & Basis

Corn: Corn basis remained firm relative to futures, reflecting steady export replacement demand even as the board consolidated following February *WASDE*. CIF Gulf corn barges were bid in the 109–117¢/bu over March range, broadly unchanged versus prior prints and consistent with stable exporter coverage. FOB Gulf export offers held in the low-100s over March, reinforcing that nearby demand remains engaged despite confirmation of ample supply. Interior bids were largely unchanged to slightly softer, consistent with improved winter logistics and more fluid movement, but not indicative of burdensome availability. River conditions have stabilized and freight has normalized modestly, yet basis behavior continues to signal active commercial ownership rather than defensive coverage. As in recent weeks, the cash market absorbed futures weakness rather than amplifying it, reinforcing corn's position as the most resilient leg of the grain complex on a replacement-value basis.

Soybeans: Soybean basis softened in export channels while remaining comparatively supported in processing regions. CIF Gulf soybean barges were bid near 95–97¢/bu over March futures, and FOB Gulf offers hovered around 115–118¢/bu over March, reflecting reduced urgency from exporters as Brazilian shipments accelerated. In contrast, interior processor bids remained firm, supported by strong crush margins and sustained run rates following January's robust NOPA crush. The widening divergence between export basis and processor basis underscores that US soybeans are currently priced more through domestic consumption than through export replacement demand during Brazil's peak shipment window. Crushers are providing the floor. Export channels remain price-takers in a competitive global environment.

Wheat: Wheat basis remained soft and largely directionless, consistent with a market anchored by carry and global competition. FOB Gulf SRW wheat values hovered near \$235/mt, while Black Sea origin remained competitive near \$228–230/mt FOB, limiting US export pricing flexibility and reinforcing the external ceiling. Interior basis across SRW and HRW regions held generally 50–60¢ under March futures, with mills well covered and showing little urgency to extend bids. Lower-priced Black Sea and Argentine supplies continue to pressure US competitiveness, reinforcing the storage-oriented signal embedded in futures structure. Cash markets offer little indication of tightening.

So What? Cash markets continue to absorb balance-sheet adjustments without signaling stress, but tone remains selective rather than uniformly supportive. Corn basis stands out as the most constructive, with export replacement values holding in the 109–117¢ range even as futures remain rangebound. In soybeans, the split between weaker export bids and firm processor bids reinforces crush, not exports, as the primary near-term anchor. Wheat remains the weakest component, with basis offering little resistance amid ample global supply and carry-driven structure. With logistics improving and no immediate demand shock, nearby cash strength reflects end-user coverage rather than scarcity. Basis can remain stable, but absent a new catalyst, sustained upside appears limited.

International Cash & Trade Flows

Brazil: Brazil's role as the dominant near-term supplier continues to solidify as soybean harvest accelerates and export capacity expands. ANEC estimates January soybean exports near 3.23 mmt, with corn loadings around 3.39 mmt, both running ahead of last year's pace and reinforcing Brazil's early-year export leadership. FOB Paranaguá soybean values continue to trade at a meaningful discount to US Gulf origin, with US soybeans priced roughly \$50/mt above Brazilian FOB on recent comparisons. That differential preserves Brazil's pricing advantage into Asia and the Middle East and continues to pressure US export competitiveness during peak shipment season.

Corn shipments have slowed seasonally following the late-2025 safrinha surge, yet Brazilian corn FOB Santos values near \$220–223/mt remain competitive relative to US Gulf and Argentine origin. Brazil remains firmly embedded in global feed grain channels despite the seasonal transition. Harvest progress across Mato Grosso and Goiás has improved amid favorable weather windows, and port operations remain fluid with no widespread congestion. Earlier-season moisture continues to anchor expectations for a large soybean crop, reinforcing Brazil's position as the preferred origin into Q1.

Argentina: Argentina remains an active and reliable participant in global trade, particularly in corn and soybean meal. Up-River corn offers remain competitively priced relative to US Gulf origin, while soy meal pricing continues to anchor Argentina's role as a primary supplier of global protein meal.

Despite persistent dryness across parts of Buenos Aires and La Pampa, export channels have not been materially disrupted. Currency dynamics continue to support exporter margins and farmer marketing flexibility, sustaining shipment flow. Weather remains a monitored variable for corn and soybeans in

reproductive stages, but from a trade perspective Argentina continues to function as a dependable supplier rather than a source of disruption.

China: Chinese participation remains tactical rather than structural. Confirmed US soybean purchases have occurred intermittently but appear state-directed and opportunistic rather than reflective of broad commercial restocking. With US soybeans priced roughly \$50/mt above Brazilian origin FOB, private crushers continue to favor South American supply. No sustained arbitrage window has emerged to materially accelerate US corn or wheat imports. China's engagement remains episodic and price-sensitive, providing marginal support rather than altering global flow dynamics.

EU / Black Sea: Black Sea origins continue to anchor global price ceilings. Russian and Ukrainian wheat FOB values cluster near \$228–235/mt, preserving a competitive advantage in major import destinations and limiting upside for higher-cost exporters. Ukrainian corn remains competitively priced into Mediterranean and EU markets, reinforcing feed grain competition. With export corridors functioning and supplies ample, Black Sea flows continue to define the marginal clearing price rather than respond to US movements. The ceiling effect remains intact.

Other Regions: Australia continues to move wheat into Asian markets following a solid harvest, while Canadian spring wheat exports proceed in line with seasonal norms. No material trade restrictions, quota shifts, or policy disruptions have emerged across secondary exporters. The broader international environment remains stable and well supplied.

So What? Global trade flows remain firmly dictated by price leadership. Brazil continues to anchor soybean and corn exports, Russia dominates wheat, and Argentina's role is increasingly contingent on weather and producer selling behavior. China's presence provides occasional demand support but lacks consistency. Against this backdrop, US export competitiveness remains opportunistic rather than structural, dependent on timing, logistics, or short-term disruptions elsewhere. Until global FOB spreads narrow or supply risks materially reshape availability, the US remains a secondary origin in the global trade hierarchy.

Key Fundamentals & Reports (Feb 05 – Feb 12)

USDA WASDE – February 2026 (released Feb 10): February WASDE delivered targeted demand-side adjustments rather than another broad supply reset. For corn, USDA held production steady at 17.021 bbu but raised exports by 100 mbu to 3.300 bbu, trimming US ending stocks to 2.127 bbu from 2.227 bbu in January and tightening stocks-to-use modestly into the mid-14 percent range. The revision formalized shipment strength that had already been evident in weekly inspections rather than introducing a new tightening impulse.

Soybean balance sheets were largely unchanged domestically, with US production held at 4.262 bbu, crush maintained at 2.570 bbu, exports steady at 1.575 bbu, and ending stocks left at 350 mbu. The more meaningful adjustment came globally, where USDA raised Brazilian production again, lifting world ending stocks and reinforcing a supply-heavy international backdrop. Wheat adjustments were minimal, with US ending stocks near 931 mbu and stocks-to-use holding around 45 percent. Globally, wheat supply remains ample, keeping export competition intense and limiting balance-sheet-driven upside.

Export Inspections (USDA FGIS – week ending Feb 5): Export inspections continued to differentiate demand strength across the complex. Corn inspections totaled 1.308 mmt, lifting cumulative shipments to roughly 34 mmt and keeping exports well ahead of last year's pace, validating USDA's February export increase. Soybean inspections reached 1.14 mmt, with cumulative shipments still sharply below last year, underscoring continued export underperformance during Brazil's peak shipment window. Wheat

inspections improved to 0.58 mmt, bringing cumulative shipments near 17.3 mmt and keeping exports modestly ahead of last year, though not at a pace sufficient to materially alter the broader supply-heavy tone.

Export Sales (USDA FAS – latest through week ending Jan 29): Weekly export sales reflected a mixed but stable demand profile. Corn net sales exceeded 1.0 mmt, with cumulative commitments near 58.7 mmt, roughly 72 percent of USDA's current export forecast and consistent with strong execution despite seasonal moderation. Soybean net sales slowed meaningfully, with cumulative commitments near 34.3 mmt, approximately 80 percent of the annual projection but trailing the historical seasonal pace, reinforcing that exports remain the weakest leg of the demand complex.

Wheat sales were constructive but unexceptional, aligning with inspection data that suggest steady rather than accelerating flow. Daily sales announcements during the period included corn and soybean transactions to China and unknown destinations, reinforcing that demand continues to surface opportunistically on price breaks even as aggregate weekly totals fluctuate.

NOPA Soybean Crush – January (released Feb 3): NOPA crush data reinforced the strength of domestic soybean processing. January crush volumes reached approximately 225 million bushels, one of the strongest January runs on record, confirming sustained high utilization amid favorable margins. Soybean oil stocks remain relatively tight relative to crush volume, supporting the view that renewable diesel demand continues to absorb incremental supply. The persistence of strong crush justifies USDA's decision to maintain elevated domestic demand assumptions despite ongoing export weakness.

CFTC Positioning (latest available – week ending Feb 3): Speculative positioning remains uneven across markets. In corn, managed money holds a net short of **-68,786** contracts, reflecting gradual short covering and diminished downside conviction rather than outright bullish reallocation. Soybeans carry a net long of 28,832 contracts following the late-January rally, increasing downside sensitivity should South American risk ease or export flow fail to improve. Wheat remains the most asymmetric market, with managed money net short 81,755 SRW contracts, leaving the board vulnerable to short-covering rallies even as underlying fundamentals remain loose.

So What? February's data flow reinforced a market increasingly driven by execution rather than estimation. Corn remains the most defensible balance sheet, with exports and ethanol providing tangible support despite ample supply. Soybeans are anchored by domestic crush but expanding global availability and weak export flow continue to cap rallies. Wheat fundamentals remain the heaviest, with global supply and positioning dictating price behavior more than demand acceleration. With *WASDE* revisions largely absorbed, inspections, sales, basis, spreads, and positioning remain the clearest real-time signals for price discovery as the market transitions into the back half of February.

International Reports

Brazil: CONAB's February survey maintained Brazil's soybean production near 176 mmt, unchanged from January, reinforcing that the "big crop" narrative is now institutionally embedded rather than weather-contingent. Total grain output remains projected near 353 mmt, keeping 2025/26 positioned as a record season in aggregate. Harvest continues to advance across the Center-West, and safrinha planting is unfolding behind combines within seasonal norms. The institutional signal is one of confirmation rather than adjustment. No downward revision has been introduced, and official confidence in production remains intact. Brazil's supply profile is therefore institutionally validated and embedded in global balance sheets.

Argentina: Argentina's position in global trade is being shaped more by crop recovery and currency dynamics than by short-term export competitiveness. MAGyP projections continue to indicate materially improved production prospects versus last year's drought-reduced baseline, particularly in soybeans and corn, reinforcing normalization across the oilseed and feedgrain complex. Localized dryness remains under monitoring across portions of Buenos Aires, La Pampa, and Córdoba, yet national production expectations remain far above 2023/24 levels. Forecast models suggest scattered 10–20 mm rainfall across key areas, potentially stabilizing conditions but not fully replenishing uneven soil moisture profiles.

China: China's grain demand profile remains measured and policy-guided rather than market-driven. Domestic corn and soybean prices remain elevated relative to global benchmarks, yet import behavior continues to be tactical and price sensitive. US soybeans remain priced roughly \$50/mt above Brazilian origin on an FOB basis, reinforcing why private crushers have favored South American supply during Brazil's peak export window. State-directed purchases appear opportunistic, with no evidence of broad commercial restocking.

EU / Black Sea: Black Sea supply continues to anchor the global wheat balance sheet structurally. Russian export flows remain steady under existing policy frameworks, and export taxes have not materially constrained shipment pace. FOB Black Sea wheat values clustered near \$228–\$235/mt maintain a competitive edge in key import destinations and reinforce the region's role as marginal price-setter. Ukraine's export corridors remain functional despite ongoing geopolitical tension, preserving corn and wheat flows into EU and Mediterranean destinations. Western Europe remains comparatively less competitive in export tenders, further solidifying the Black Sea's structural pricing influence. Rather than responding to US price moves, Black Sea origins continue to define the global ceiling.

So What? International developments continue to reinforce a structurally comfortable global supply environment. Brazil's crop size is increasingly validated and embedded into balance sheets, Argentina represents recovery rather than risk, and Black Sea flows remain uninterrupted and price-defining. China's participation remains tactical and policy-managed rather than demand-led. Unlike prior years where global trade disruptions created asymmetric price risk, February's international backdrop is characterized by stability and competitive pricing. In this environment, upside requires a disruption that is not currently visible, while downside remains governed by execution and demand follow-through rather than structural tightening.

Weather & Crop Conditions

United States

Weather remains a secondary driver for US grain markets, though short-term patterns have been operationally supportive. Temperatures across much of the Midwest and Plains have trended near to slightly above seasonal norms, limiting freeze-related logistics disruptions and allowing river systems to function more consistently following earlier winter constraints. Snow cover across key HRW wheat areas in Kansas, Oklahoma, and Colorado remains adequate, reducing immediate winterkill risk despite intermittent cold shots. NOAA's 6–10 and 8–14 day outlooks continue to favor moderation rather than extreme cold, reinforcing dormancy stability for winter wheat and limiting headline-driven volatility. With harvest complete and no active fieldwork underway, US weather remains neutral from a supply standpoint, functioning primarily as a logistics variable rather than a production catalyst at this stage of the calendar.

Brazil

Brazilian weather continues to validate large production expectations, with harvest progress accelerating during recent drier windows across the Center-West. Mato Grosso soybean harvest has moved into the 30–40 percent range, recovering from early-season delays and aligning more closely with seasonal norms, while safrinha corn planting has expanded into the 20–30 percent range behind combines.

Rainfall earlier in the season maintained favorable soil moisture profiles across Goiás and Mato Grosso do Sul, anchoring yield potential and reinforcing CONAB's expectation for a soybean crop near 176 mmt. In southern states, including Paraná and Rio Grande do Sul, localized excess moisture has slowed fieldwork intermittently, yet no widespread crop loss or systemic quality deterioration has been confirmed.

Forecast models indicate continued periodic rainfall across central Brazil, supporting late soybean development and early safrinha establishment without introducing systemic risk. The broader weather narrative remains stabilizing rather than deteriorating, reinforcing production confidence rather than injecting new uncertainty.

Argentina

Argentina remains the key weather-sensitive region within the global complex. Dryness persists across portions of Buenos Aires, La Pampa, and Córdoba as corn enters pollination and soybeans progress through pod-setting stages. Rainfall coverage over the past week has been uneven, with scattered totals generally in the 10–20 mm range in some areas, insufficient to fully replenish soil moisture deficits in the most stressed zones.

The next 10–14 days remain critical, particularly for first-crop corn and early soybeans, where yield potential is most sensitive to moisture availability. While crop ratings have softened in certain regions, no confirmed large-scale production loss has yet been embedded into official estimates. Forecast guidance continues to suggest periodic precipitation opportunities, though coverage and intensity remain uncertain. Weather in Argentina therefore introduces asymmetric risk, not confirmed loss, but elevated sensitivity relative to Brazil and the United States.

Global

Outside South America, crop conditions remain broadly stable. Northern Hemisphere winter wheat across the Black Sea, EU, and US Plains remains largely dormant without widespread stress reports. Russia and Ukraine have not reported meaningful winter damage, and Australia's harvest has concluded without weather-related logistical disruption. Across Canada and Western Europe, conditions remain seasonally normal. At the global level, weather outside Argentina remains a background variable rather than an active driver of price formation.

So What?

Weather influence remains differentiated rather than uniform. Brazil reinforces supply confidence as harvest and safrinha planting advance under generally supportive conditions. The United States remains operationally neutral, with dormancy stability and improving logistics limiting friction. Argentina stands alone as the primary volatility source, where reproductive-stage crops face uneven moisture profiles during a critical window. For now, weather represents conditional upside risk rather than confirmed supply loss, meaning markets remain anchored by February's supply-heavy baseline unless Argentine stress intensifies measurably in the coming weeks.

Synthesis & Outlook

February's data flow confirmed that the grain complex has transitioned from balance-sheet discovery into a phase defined by confirmation and execution. January delivered the supply reset. February validated it. USDA revisions were incremental rather than structural, and international institutional updates reinforced stability rather than introducing new tightening impulses. Prices have stabilized into defined ranges, spreads remain orderly, and basis continues to carry disproportionate signaling weight. The market is no longer repricing supply; it is testing whether demand can consistently absorb it without erosion.

Corn remains the most balanced leg of the complex. Record production and a still-elevated carryout cap structural upside, yet February's export increase formalized what shipment data had already been validated. Export execution continues to outperform seasonal norms, Gulf replacement values remain

firm, and managed money has reduced short exposure without aggressively re-adding length. Corn has repriced abundance without transitioning into full storage-driven stress. As long as inspections and ethanol grind avoid deterioration, downside risk appears controlled rather than disorderly.

Soybeans remain internally supported but externally constrained. Domestic crush continues to operate at historically strong levels, reinforcing processors as the primary stabilizing force. At the same time, Brazil's officially confirmed 176 mmt crop and accelerating export window maintain structural pressure on US export channels. Argentina introduces weather sensitivity, but no institutional downgrade has yet been embedded into balance sheets. February did not materially alter that equilibrium. The result remains a range-bound structure shaped by resilient domestic demand on one side and expanding South American availability on the other.

Wheat continues to carry the heaviest balance sheet profile. February introduced no tightening impulse domestically or globally. Russian export duties remain at zero, Black Sea FOB values continue to anchor the global ceiling, and US stocks-to-use remains elevated. Export execution has stabilized but not accelerated. With supply comfort validated across official channels, wheat remains a price-taker rather than a price-setter, and rallies remain positioning-driven rather than fundamentally reinforced.

Bullish triggers: Upside risk remains conditional rather than embedded. For corn, sustained inspections combined with normalization in ethanol output would further compress the effective nearby balance despite ample stocks. In soybeans, a measurable weather-driven production loss in Argentina or a structural acceleration in Chinese buying beyond tactical procurement would materially shift the demand calculus. Wheat upside remains the most disruption-dependent, requiring either export surprises or supply friction in a major exporting region rather than incremental domestic improvement alone.

Bearish triggers: Downside risk depends on erosion rather than revelation. For corn, a measurable slowdown in export execution following February's upward revision would reopen the path toward wider carries and deeper storage economics. Soybeans remain vulnerable to uninterrupted Brazilian export pressure if logistics remain fluid and US shipments fail to improve later in the marketing year. Wheat continues to face structural headwinds from aggressive Black Sea competition, with elevated global stocks limiting the market's ability to absorb incremental supply without price concession.

Watchlist (Feb 12–Feb 19):

Argentina: Do forecasted rains meaningfully improve soil moisture, or does stress begin to translate into condition downgrades?

Corn exports: Does shipment pace remain strong enough to justify February's upward revision?

Soybeans: Any measurable improvement in US export execution during Brazil's peak window?

Ethanol: Signs of production normalization following the late-January weather dip?

Positioning: Does fund short covering extend in corn and wheat, or stall without a new catalyst?

In summary: With February's *WASDE* and international releases confirming rather than redefining the supply landscape, grain markets are operating inside a validated baseline of global supply comfort. Brazil's crop is institutionally embedded, Russia's export regime remains open, China's policy stance is stable, and Argentina has not yet introduced official downgrades. Physical signals, basis behavior, spread structure, shipment pace, and positioning, now serve as the clearest guideposts for price discovery. Risk remains asymmetrical. Upside requires disruption. Downside requires demand erosion. Until either